Lakemont Supply Holdings, Inc.
Consolidated Statements of Operations
(in thousands, except share and per share amounts)

	Year Ended December 31, 2023	Year Ended December 31, 2022
Revenues:		
Product	$ 33,508	$ 32,173
Subscription and services	14,867	15,136
Total revenues	48,375	47,309
Cost of sales:		
Products	12,463	11,843
Services	7,871	6,983
Total cost of sales	20,334	18,826
Gross margin	28,041	28,483
Operating expenses:		
Research and development expense	4,321	4,797
Sales and marketing	12,631	15,904
General and administrative	8,329	9,927
Total operating expenses	25,281	30,628
Income (loss) from operations	2,760	(2,145)
Interest expense	286	166
Investment income	76	105
Other income, net	85	124
Income (loss) before income taxes	2,635	(2,082)
Provision for (benefit from) income taxes	595	(107)
Net income (loss)	**$ 2,040**	**$ (1,975)**
Net income per share:		
Basic	$ 1.02	$ (0.99)
Diluted	$ 1.00	$ (0.99)
Weighted average shares outstanding:		
Basic	2,005,010	1,991,357
Diluted	2,046,005	1,991,357

Lakemont Supply Holdings, Inc.
Consolidated Statements of Financial Position
(In thousands, except par value)

	December 31, 2023	December 31, 2022
ASSETS		
Current assets:		
Cash	$ 4,580	$ 2,631
Receivables, net	8,488	7,401
Inventories	2,861	2,911
Prepaid expenses and other current assets	992	679
Total current assets	16,921	13,622
Property, plant and equipment, net of accumulated depreciation	17,815	17,650
Goodwill	8,659	8,659
Acquired intangible assets, net	1,892	2,174
Deposits and other assets	1,354	1,354
Total assets	**$ 46,641**	**$ 43,459**
Liabilities and shareholders' equity		
Current liabilities:		
Trade accounts payable	$ 2,307	$ 1,975
Accrued liabilities	1,960	1,543
Current maturities of long-term debt	395	375
Total current liabilities	4,662	3,893
Long-term debt, less current maturities	5,436	5,831
Other long-term liabilities	612	612
Total liabilities	10,710	10,336
Shareholders' equity:		
Common stock and paid-in capital	16,205	15,437
Retained earnings	19,726	17,686
Total shareholders' equity	35,931	33,123
Total liabilities and shareholders' equity	**$ 46,641**	**$ 43,459**

Lakemont Supply Holdings, Inc.
Consolidated Statements of Cash Flows
(in thousands)

	Year Ended December 31, 2023	Year Ended December 31, 2022
Cash flows from operating activities:		
Net income (loss)	$ 2,040	$ (1,975)
Adjustments to reconcile net income (loss) to net cash provided by operating activities:		
Depreciation and amortization	1,820	1,883
Share-based compensation expense	768	411
Changes in operating assets and liabilities:		
Accounts receivable	(1,087)	(600)
Inventories	50	(274)
Prepaid expenses and other current assets	(313)	97
Accounts payable	332	(9)
Accrued liabilities	417	214
Net cash provided by (used in) operating activities	4,027	(253)
Cash flows from investing activities:		
Additions to property and equipment	(1,703)	(3,383)
Net cash used in investing activities	(1,703)	(3,383)
Cash flows from financing activities:		
Proceeds from term loan	—	3,000
Repayment of debt	(375)	(394)
Net cash provided by (used in) financing activities	(375)	2,606
Net increase (decrease) in cash and cash equivalents	1,949	(1,030)
Cash and cash equivalents at beginning of year	2,631	3,661
Cash and cash equivalents at end of year	**$ 4,580**	**$ 2,631**